

NIKE, Inc.

NIKE | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$64.00
Current price (October 2, 2026 close)	\$33.87
Implied upside / downside	+89%
Verdict	BUY

Investment Thesis

NIKE is the strongest brand in athletic footwear and apparel, and at \$33.87 the market prices it as a structurally impaired business in permanent retreat. Our judgment is that this confuses a cyclical product and distribution reset with structural decline. NIKE's advantages -- the deepest innovation pipeline in the industry, the most powerful athlete and cultural endorsement portfolio ever assembled, and distribution scale that no challenger can replicate -- are intact; what broke was execution: an over-rotation to direct-to-consumer that alienated wholesale partners, a product cycle that leaned too heavily on retro lifestyle franchises while running innovation lagged, and inventory imbalances that forced promotional selling. These are fixable problems, and under CEO Elliott Hill the company is fixing them: reinvesting in wholesale relationships, re-centering the brand on sport, and rebuilding the running innovation pipeline.

What elevates this from a turnaround speculation to a BUY is the quality of the underlying compounder. NIKE has produced return on invested capital above 15% for 14 consecutive years (minimum 15.8%), with stable-to-expanding gross margins and free-cash-flow conversion above 80% -- a record verified from reported history that meets our compounder-quality criteria outright. Businesses with this profile do not lose their economics because of a bad product cycle; they revert to them. The market is pricing the trough of the reset as the permanent state; we are pricing the demonstrated through-cycle economics, which support a \$64.00 fair value on a probability-weighted basis, +89% above today's price, using an 8-8.5% discount rate that the predictability of these cash flows genuinely earns.

Our variant view is on the competitive threat. The market treats the rise of On, Hoka, and other challengers as a permanent share transfer. We see it differently: challengers win by innovating in specific categories while the incumbent's innovation sleeps, and they lose their edge when the incumbent wakes up with ten times the R&D; budget and fifty years of biomechanics data. NIKE's running pipeline -- the category where it ceded the most ground -- is being renewed with exactly this dynamic in mind, and early reception to the renewed performance product suggests the innovation engine is restarting. Brand heat is cyclical; innovation capacity is structural. We are underwriting the structural part.

Business Overview

NIKE, Inc., founded in 1964 and headquartered in Beaverton, Oregon, is the world's largest athletic footwear and apparel company. The NIKE brand spans performance categories -- running, basketball, soccer, training -- and sport lifestyle; Jordan Brand is a multi-billion-dollar franchise in its own right; Converse adds a complementary lifestyle position. Revenue is geographically diversified across North America, Europe/Middle East/Africa, Greater China, and Asia Pacific/Latin America, and sold through wholesale partners and NIKE's direct channels (owned stores and digital commerce). Gross margins have historically sat in the mid-40s percent range, reflecting genuine brand pricing power in a category where most participants earn commodity returns.

The economic signature of the business is exceptional capital efficiency: minimal fixed manufacturing assets (production is outsourced), working capital dominated by inventory, and returns on invested capital above 15% for 14 straight years. Free-cash-flow conversion above 80% has funded decades of dividend growth and aggressive share repurchases. The 2023-2025 period broke the pattern operationally -- excess inventory, promotional pressure, wholesale disruption, and share loss in running -- but not economically: the through-cycle margin structure and capital efficiency remain demonstrably intact, which is precisely what the compounder framework is designed to recognize.

Forward Outlook

Our forward view is that NIKE's reset follows the classic athletic-brand recovery playbook, and we model it in three phases. Phase one, largely complete: clear excess inventory, restore full-price selling discipline, and repair wholesale partnerships -- the 'Win Now' actions that stabilize gross margin. Phase two, underway: renew the product engine around sport, with running innovation leading -- new cushioning platforms, race-day credibility re-established, and a pipeline cadence that gives wholesale partners something to sell besides retros. Phase three: brand heat returns as performance credibility compounds into lifestyle demand, the historical sequence by which NIKE has always grown. We expect revenue growth to reaccelerate as phases two and three compound, with gross margin rebuilding toward the mid-40s as promotions fade and higher-margin performance product mixes back in.

Greater China deserves its own judgment. The market treats China as a permanent drag on NIKE; we see a premium Western brand in a consumption environment that remains soft but is cyclical, not structurally closed to NIKE. Local competitors have gained share, but NIKE's brand equity with Chinese athletes and young consumers remains formidable, and we model China as a gradual recovery contributor rather than a growth engine -- which means any genuine consumption rebound is upside to our numbers. We haircut management's most optimistic China commentary and assume share stabilization before share gains.

Capital allocation is a quiet compounding lever we underwrite fully: the dividend has grown for over two decades, and buybacks at current prices retire shares at a multiple of through-cycle earnings that makes each repurchased share highly accretive to the compounder math. We expect NIKE to continue returning essentially all free cash flow to shareholders while funding the innovation pipeline internally -- the classic compounder capital policy. Our 15-year horizon reflects our confidence that the economics observed over the last 14 years -- ROIC above 15%, expanding gross margins, 80%+ cash conversion -- persist; and the falsification trigger is explicit: two consecutive years of ROIC below 15% or 200bp+ of gross-margin contraction revokes the compounder qualification and our valuation with it.

Valuation

We value NIKE on a probability-weighted scenario DCF over a 15-year explicit horizon, which the company's compounder-quality record earns: 14 consecutive years of ROIC above 15% (minimum 15.8%), stable-to-expanding gross margins, and free-cash-flow conversion above 80%, all verified from history. The base discount rate is 8-8.5%, reflecting the genuinely lower risk of these predictable cash flows; the bear case adds 250bp and the bull case subtracts 150bp (floor 8%). Terminal growth is capped at 3.0% on a demonstrated sustained margin -- never a peak margin -- and terminal value exceeding 70% of enterprise value would be haircut and disclosed. The bear case is genuinely adverse and sits below the \$33.87 share price: the turnaround stalls, wholesale relationships do not recover, running innovation fails to resonate, and margins settle at a structurally lower level. The base case assumes the three-phase recovery plays out -- inventory discipline, product engine renewed, brand heat returning -- with gross margins rebuilding toward the mid-40s and through-cycle economics reasserting. The bull case assumes NIKE recaptures running leadership decisively and Greater China rebounds, restoring historical growth rates on the compounder economics.

Blending these scenarios at 25% / 50% / 25% yields a probability-weighted fair value of \$64.00, which is our target, implying +89% upside. The valuation is anchored by the verified quality record, not by turnaround hope: even our bear case preserves a portion of the historical return profile, and the compounder qualification carries an explicit falsification trigger -- two consecutive years of ROIC below 15% or 200bp+ gross-margin contraction -- that would require us to withdraw both the qualification and the valuation.

Key Risks

- Turnaround execution: the product and wholesale reset may take longer or deliver less than modeled; brand heat is not mechanically recoverable.
- Competition: On, Hoka, Adidas, and domestic Chinese brands continue to take share in key categories, particularly running.
- Greater China: prolonged consumption softness or further share loss to local champions would impair a key growth market.
- Inventory and promotions: a relapse into excess inventory would restart the promotional cycle that compressed margins.
- Direct-to-consumer balance: miscalibrating the wholesale-versus-direct mix could re-alienate partners or strand digital investments.
- Input costs and tariffs: footwear manufacturing cost inflation and trade policy can pressure gross margins.
- Fashion risk: over-dependence on lifestyle/retro franchises exposes revenue to style cycles.

What Would Change Our Mind

- Two consecutive years of ROIC below 15% -- this revokes the compounder qualification and the valuation built on it.
- Gross-margin contraction of 200bp or more on a sustained basis, indicating structural pricing-power loss.
- Two consecutive years of revenue decline in North America wholesale, signaling the partner reset has failed.
- Sustained market-share loss in performance running despite the renewed innovation pipeline.

- A dividend cut or buyback suspension not explained by a clear external shock, signaling cash-flow stress.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. NIKE meets our compounder-quality criteria -- more than 10 years of return on invested capital above 15% (a 14-year streak, minimum 15.8%), stable or expanding gross margins, and free-cash-flow conversion above 80%, all verified from reported history, never projected -- and therefore we use a 15-year explicit forecast horizon, an 8-8.5% base discount rate reflecting the genuinely lower risk of its predictable cash flows, and a 3.0% terminal growth cap applied to a demonstrated sustained terminal margin. Scenarios are weighted 25% / 50% / 25%; the bear case adds 250bp to the discount rate, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 3.0% perpetual growth on normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. The compounder qualification is falsifiable and revoked if NIKE records two consecutive years of ROIC below 15% or gross-margin contraction of 200bp or more. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.